The Grundrisse (The 1857-58 Manuscript)

5 Chapter on Money (2)

Value and Price (pp. 136-XXX)

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One difficulty (as we have seen) with metallic (gold and silver) money, or paper money convertible to gold, is that its denomination (one sovereign, one pound, one franc) is equated with a given (statutorily determined) amount of metal; this amount of metal is equivalent to a given amount of labour-time, which means that the *value* of the money—equal to what it can be exchanged *for*—is sensitive the labour-time necessary to produce that metal. Over time, we would expect, and actually observe, a secular rise in the general productivity of labour, the amount of labour-time a given amount of metal will represent will fall correspondingly. If money (whether metal money or token money) is denominated in units of gold, whether directly or indirectly, then, given a secular rise in the general productivity of labour, then such money will be devalued over time.

But what if, Marx asks (Marx 1973, p. 135), "the title of labour time should go [...] to paper money, [...] [as] a mere symbol of value"?[1] (Marx 1973, p. 135) Now, a rise in the productivity of labour would mean a *rise* in the money's purchasing power. "According to the same law which would subject golden labour money to a constant depreciation, paper labour money would enjoy a constant appreciation." (Marx 1973, 135) And the (Proudhonite and Owenite) socialists would say that that is its advantage: "the worker would reap the joys of the rising productivity of his labour, instead of creating proportionately more alien wealth and devaluing himself as at present." (Marx 1973, pp. 135-6)

It is to this, labour-time money, "time-chits"—and specifically to their "convertability"—(Marx 1975, p. 136), that Marx now turns his attention. "Although it is still too early, a few observations can be made about the delusions on which the time-chit rests, which allow us an insight into the depths of the secret which links Proudhon's theory of circulation with his general theory—his theory of the determination of value."[2] (Marx 1975, p. 136)

[1] "[A]s [Wilhelm] Weitling [an early theorist of communism] proposed, with Englishmen [a refernce to Robert Owen (who was, in fact, Welsh)] ahead of him and French after, Proudhon & Co. among them."

[2] And not just Proudhon; Marx also cites John Francis Bray (1809–1897) and John Gray (1799–1883). Bray, a Chartist, who later moved back to the United States, where had had been born, was the author of *Labour's*

(Before he does that, Marx says that, "incidentally", if paper money, which is simply a draught on gold, is issued in excess of the gold on which it is a draught it cannot *help* but be depreciated. "Three drafts of £15 which I issue to three different creditors on the same £15 in gold are in fact only drafts on $\frac{£15}{3}$ = £5 each. Each of these notes would have depreciated to $33\frac{1}{3}$ per cent from the outset." (Marx 1975, p. 136))

The "value" of all commodities, "labour included"—Marx calls this their "real exchange value"—"is determined by their cost of production, in other words by the labour-time required to produce them." (Marx 1973, pp. 136-7) Their *price* is this exchange value expressed in money.

Replacing *metallic* money (or tokens representing metallic money) with *labour* money (denominating labour time) would in effect amount to "equat[ing] the *real value* (exchange value) of commodities with their *nominal value*, *price*, *money value*." (Marx 1973, p. 137) Such an equation would only be permissible were it the case that the distinction between value and price were *only* nominal. But it is not. "The value of commodities as determined by labour time is only their *average value*," Marx tells us. (Marx 1973, p. 137) This average is the average of what Marx calls here "*market value*" (which we can take to be the price of a commodity on the market, in the sense of what it actually sells for). "Real value" is an average in that it is the mid-point of the oscillations of market value (the latter's "center of gravity", so to speak). Market value and real value will this coincide in magnitude "only coincidentally and exceptionally." (Marx 1973, p. 137) "*Price* [i.e. "real value"] therefore is distinguished from *value* [i.e. "market value"] not only as the nominal from the real; not only by way of the denomination in gold and silver, but because the latter appears as the law of the motions which the former runs through." (Marx 1973, p. 137)

The difference between value and price is twofold, therefore. On the one hand, it is the difference between a "real" value and a "nominal" one (a difference presumably resting on a difference in the units in which the two are expressed; labour-time and money, respectively); on the other, the difference is one between the "average" value ("centre of gravity) of the oscillations of a constantly varying magnitude.

But there is a problem here, which Marx will turn his attention to in the next section of the Manuscript.

Marx now clarifies why he started the manuscript with a critique of Darimon and his theories.

> We have here reached the fundamental question, which is no longer related to the point of departure [i.e. to Darimon's theories]. The general question would be this: Can the existing relations of production and the relations of distribution which correspond to them be revolutionised by a change in the instrument of circulation, in the organisation of circulation? Further question: Can such a transformation of circulation be undertaken without touching the existing relations of production and the social relations which rest on them? (Marx 1973, p. 122)

A positive answer to this question, Marx argues, would reveal that a "misunderstanding has occurred in relation to the inner connections between the relations of production, of distribution and of circulation."[3] (Marx 1973, p. 122)

Wrongs and Labour's Remedy (1839), identified by Marx in the *Poverty of Philosophy* as an inspiration of Proudhon's economic ideas. Grey, a supporter of Robert Owen, wrote the book *A Lecture on Human Happiness*, a foundational text for the school of though subsequently known as Ricardian socialism.

3 "The above-mentioned historical case cannot of course decide the matter, because modern credit institutions

Marx asks as to "whether the different civilised forms of money—metallic, paper, credit money, labour money (the last-named as the socialist form)—can accomplish what is demanded of them without suspending the very relation of production which is expressed in the category money, and whether it is not a self-contradictory demand to wish to get around essential determinants of a relation by means of formal modifications". (Marx 1973, p. 123) His answer is no.

> Various forms of money may correspond better to social production in various stages; one form may remedy evils against which another is powerless; but none of them, as long as they remain forms of money, and as long as money remains an essential relation of production, is capable of overcoming the contradictions inherent in the money relation, and can instead only hope to reproduce these contradictions in one or another form.[4] (Marx 1973, p. 123)

Darimon "identifies *monetary turnover* with *credit*, which is economically wrong." (Marx 1975, p. 123) All that Darimon in fact establishes is that "banks, which deal in credit, like merchants who deal in commodities or workers who deal in labour, sell at a higher price when demand rises in relation to supply, i.e. they make their services more difficult for the public to obtain at the very moment the public has the greatest need for them." (Marx 1973, p. 123) That this is the case (as we have seen) has nothing to do with whether or not the notes issued by the Bank are convertible or not.

In addition, Darimon errs when he seems to imagine that the Bank acts as "the dispenser and regulator of credit" in virtue of its "monopoly". (Marx 1975, p. 124) In actual fact, "the power of the bank begins only where the private 'discounters' stop, hence at a moment when its power is already extraordinarily limited." (Marx 1975, p. 124) The Bank can set a discount rate, but if the private discounters set a lower one then "the discounters will discount all its business away before its very eyes."[5] (Marx 1973, p. 124)

Finally, Darimon proposes (in his own words) to end the "the privilege held by gold and silver, that of being the only authentic instrument of circulation and exchange [...]. [...] [I]t would be enough that gold and silver were made commodities like any other, or, precisely expressed, that all commodities were made instruments of exchange on an equal footing [...] with gold and silver; that products were truly exchanged for products" (Marx 1973, p. 124) "A currency is in its most perfect state when it consists wholly of paper money," says Darimon, quoting Ricardo. "Let the pope remain, but make everybody pope," says Marx. "Abolish money by making every commodity money and by equipping it with the specific attributes of money." (Marx 1973, p. 126)

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were as much an effect as a cause of the concentration of capital, since they only form a moment of the latter, and since concentration of wealth is accelerated by a scarcity of circulation (as in ancient Rome) as much as by an increase in the facility of circulation." (Marx 1973, p. 122)

[4] "One form of wage labour may correct the abuses of another, but no form of wage labour can correct the abuse of wage labour itself." (Marx 1973, p. 123)

[5] Nowhere is this more vividly demonstrated than in the history of the Bank of England since the law of 1844, which made it into a real rival of the private bankers in the business of discounting, etc. In order to secure for itself a share, and a growing share, of the discount business during the periods of easiness on the money market, the Bank of England was constantly forced to reduce its rates not only to the level adopted by the private bankers but often below it. Its 'regulation of credit' is thus to be taken with a grain of salt; Darimon, however, makes his superstitious faith in its absolute control of the money market and of credit into his point of departure." (Marx 1973, pp. 124-5)

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